



Compliance Readiness Guide for SEC Examinations

Securities and Exchange Commission (SEC)

What SEC examiners are actually looking for in technology governance examinations and how to be ready before the notice arrives.

1. How SEC Technology Examinations Work

SEC Division of Examinations conducts technology governance examinations as part of routine and cause examinations:

- **Annual Examination Priorities:** The Division publishes annual priorities. Technology governance, cybersecurity, and AI have been standing priorities for three consecutive years.
- **Risk-Based Selection:** Firms with recent breaches, complaints, material disclosures, or prior examination deficiencies are examined more frequently and intensively.
- **Document Request Letter:** Technology-focused examinations request cybersecurity policies, risk assessments, incident logs, vendor files, AI inventories, and access control evidence.
- **On-Site Review:** Examiners conduct interviews with IT and compliance staff looking for consistency between written policies and staff understanding of actual procedures.
- **Deficiency Letters:** If the examination identifies violations or weaknesses you receive a deficiency letter requiring written response with remediation commitments and timelines.

2. SEC Examination Document Request — Technology Focus

These are the technology-related items most commonly requested in SEC examinations. Maintain examination-ready files for all of them:

- **Cybersecurity policies and procedures:** current, dated, and signed by senior management or CCO.
- **Most recent cybersecurity risk assessment** with identified gaps and remediation status.
- **Incident log** for all cybersecurity incidents for the prior 3 years with timeline, containment steps, and remediation.
- **Vendor management documentation:** inventory of technology service providers with access to customer data, due diligence files, and contracts with security provisions.
- **AI governance documentation:** AI tool inventory, risk classifications, conflict of interest analysis, and Form ADV disclosures referencing AI.
- **Access control evidence:** user access reports for systems handling customer data, quarterly review documentation, and offboarding logs.

3. SEC Examination Focus Areas — Technology

Based on examination deficiency letters and enforcement actions, these are the highest examination risk areas:

- **Reg S-P Safeguards:** Written program that actually matches technical controls. Encryption of customer records. Disposal procedures for devices containing customer data.
- **AI and Emerging Technology:** Firms claiming AI capabilities must prove them. Firms using AI in client-facing contexts must have governance documentation and Form ADV disclosure.
- **Third-Party Risk:** Vendor access to customer data without adequate contracts or due diligence. Missing security provisions in technology vendor agreements.
- **Incident Response:** Firms that experienced breaches and failed to notify customers within required timelines. Incident response plans that have never been tested.
- **Access Controls:** Excessive privileges, missing MFA on customer data systems, and no termination of access for departed employees.

4. Responding to SEC Examination Notices

When you receive an SEC examination notice, the clock starts. How you respond in the first 72 hours sets the tone:

- **Acknowledge promptly:** respond to the examination notice within 24 hours designating your point of contact.
- **Designate a single POC:** all examiner communications flow through one person. Do not have staff respond to examiner requests independently.
- **Document preservation:** immediately implement a litigation hold on all documents potentially relevant to the examination.
- **Do not volunteer:** produce what is requested completely and accurately. Do not volunteer additional information beyond what is specifically requested.
- **Involve counsel:** notify legal counsel on receipt of examination notice. Consider engaging outside securities counsel for technology-focused or cause examinations.

5. Building Examination-Ready Documentation

The organizations that perform best in SEC examinations maintain documentation continuously, not assembled in response to exam notices:

- **Examination Evidence File:** Maintain a standing file with all standard document request items updated quarterly. When an exam notice arrives you collect, not create.
- **Policy Version Control:** All policies dated, version-controlled, and signed. No undated policies and no policies that have not been reviewed in 2 or more years.
- **Evidence of Operation:** Policies must be accompanied by evidence that they work including patch status reports, access review logs, training completion records, and incident log.
- **Board and Senior Management Reporting:** Documentation that senior management receives and reviews cybersecurity and governance reports. Lack of senior oversight is a common SEC deficiency.

6. SEC Compliance Readiness Checklist

Before an SEC examination, confirm you can produce within 24 hours:

- Written cybersecurity and Reg S-P safeguard program current, signed, and board-approved
- Most recent risk assessment with remediation roadmap and status
- Cybersecurity incident log for 3 years with timeline and remediation for each incident
- AI governance documentation including inventory, risk classifications, and conflict of interest analysis
- Vendor due diligence files including inventory, SOC 2 reports, and contracts with security provisions
- Access control evidence including current user access report, quarterly review logs, and offboarding records
- Senior management and board reporting on cybersecurity program for prior 12 months
- Form ADV or equivalent disclosure reflecting technology and AI use

NEXT STEP

Build Your Governance Roadmap

Reading this guide is step one. Step two is knowing exactly where your organization stands and what it takes to close the gaps before a regulator does it for you.

Our assessment delivers a prioritized governance roadmap tailored to your regulatory environment.

WHAT THE ASSESSMENT DELIVERS

- ✓ AI usage discovery across your organization
- ✓ Governance gap analysis by regulatory framework
- ✓ Infrastructure and vendor AI risk review
- ✓ Regulatory exposure analysis (SEC, FINRA, HIPAA)
- ✓ Prioritized governance roadmap
- ✓ Board-ready executive summary
- ✓ Regulatory readiness score by framework

Book Your Assessment →

centience.ai/assessments/financial-services

Call us: (877) 945-7177